Parent Company

Walgreens Boots Alliance

NYSE Listed | HQ: Chicago, IL
FY2024 Revenue: $147.7bn

Subsidiary

Boots UK Limited

FY2024 Revenue: £7.3bn
FRS 101 | 3-Year Analysis

MS7SL80O / MS7KN80O

Boots UK Limited

Financial Sustainability Analysis

Module: Accounting for Decision Makers

Partner: ANC | University of West London

Academic Year: 2025–26

Assessment: Assignment 2 – Group Presentation

Company Profile & Rationale for Selection

Boots UK Limited — Profile

Registered Name:	Boots UK Limited
Company No.:	00968956 (Companies House)
Sector:	Retail Pharmacy & Health & Beauty
Year Founded:	1849 (Jesse Boot, Nottingham)
Head Office:	Nottingham, United Kingdom
Stores:	c.2,200 across the UK
Employees:	c.51,000
FY2024 Revenue:	£7,313 million
Parent Company:	Walgreens Boots Alliance, Inc.
Accounts Standard:	FRS 101 (Reduced Disclosure)

Rationale for Choosing Boots UK

Rich Financial Story

Three years of shifting profitability — from near-breakeven (£15m net profit, FY2022) to significant improvement (£211m, FY2024) — provides an analytically meaningful trend for ratio and sustainability analysis.

Parent Under Distress

WBA recorded a net loss of $15.4bn in FY2024, including a $12.7bn goodwill impairment. Examining the subsidiary in the context of a financially stressed parent makes the sustainability review compelling.

Thin Underlying Margins

Excluding the one-off £219m pension credit, Boots UK's FY2024 operating profit was approximately £55m on £7.3bn revenue — an underlying operating margin of under 1%. This makes break-even analysis particularly relevant.

Data Accessibility

Boots UK files full individual accounts at Companies House. WBA files Form 10-K with the SEC. Both sources are publicly accessible, meeting the assessment's evidence requirements.

Source: Boots UK Limited Annual Accounts FY2022–FY2024 (Companies House) | WBA Form 10-K FY2022–FY2024 (SEC EDGAR)

Corporate Group Structure

Walgreens Boots Alliance → Boots UK Limited

Walgreens Boots Alliance, Inc.
NYSE Listed | FY2024 Sales: $147.7bn

U.S. Retail Pharmacy
$115.8bn sales (FY2024)

International (incl. Boots UK)
$23.6bn sales (FY2024)

U.S. Healthcare (VillageMD etc.)
$8.3bn sales (FY2024)

Boots UK & IE (Pharmacy + Retail)
£7,313m revenue (£m)

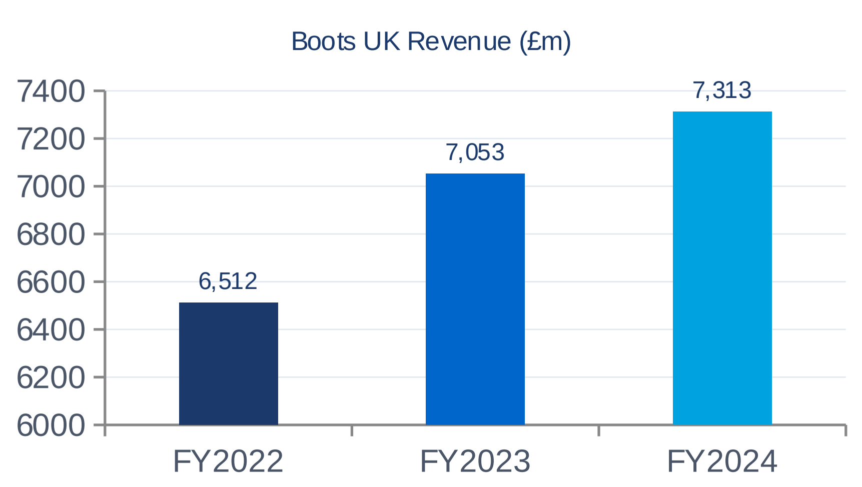
GEHE Pharma (Germany Wholesale)
$12.1bn sales (USD)

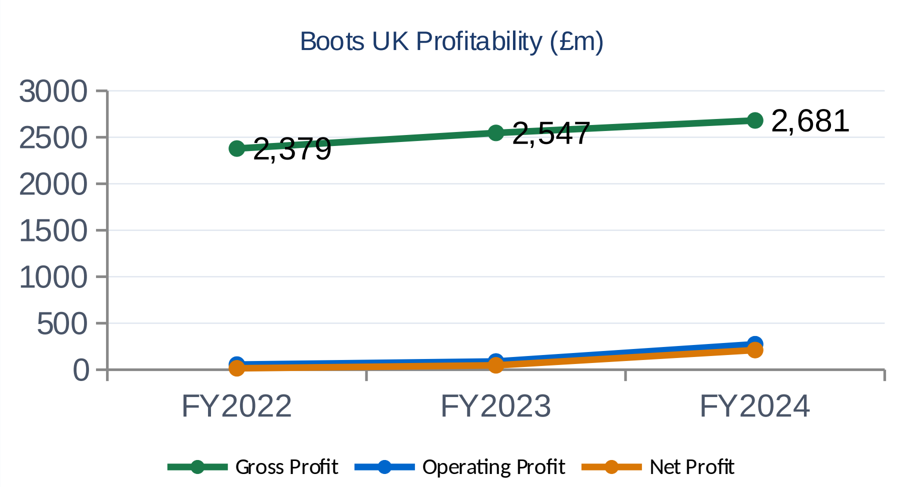
Benavides Mexico & Other
Disposed/Other

Note: Boots UK Limited prepares individual accounts under FRS 101 (Reduced Disclosure Framework). No standalone consolidated accounts are produced at Boots UK level. The consolidation in this analysis combines Boots UK individual accounts (GBP) with WBA Group accounts (USD) — currency differences are disclosed.

Source: WBA Form 10-K FY2024 (Note 16 – Segment Reporting) | Boots UK Limited Annual Accounts FY2024

Consolidated Income Statement — 3-Year Trend



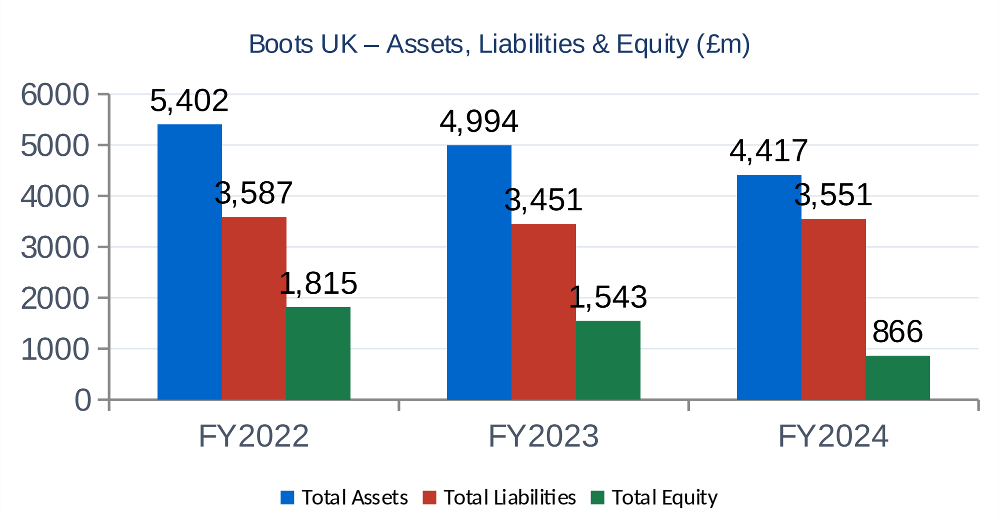


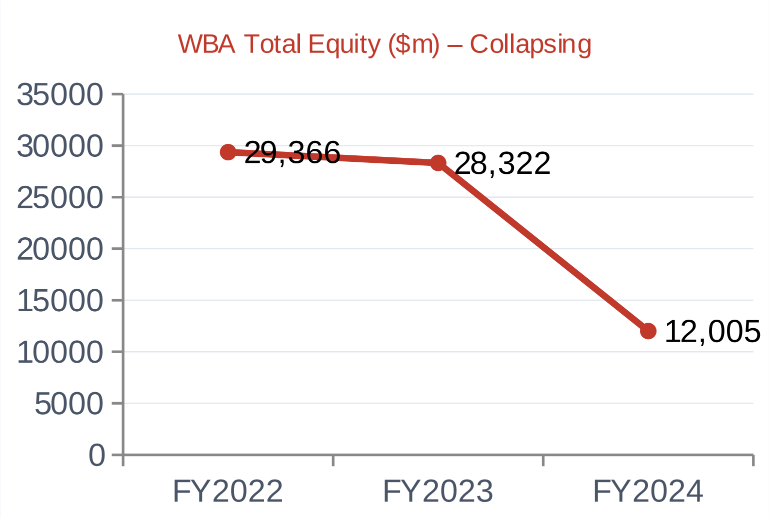
Line Item	FY2022	FY2023	FY2024	Δ 22–23	Δ 23–24
Revenue (£m)	6,512	7,053	7,313	+8.3%	+3.7%
Gross Profit (£m)	2,379	2,547	2,681	+7.1%	+5.3%
GP Margin	36.5%	36.1%	36.7%	-0.4pp	+0.6pp
Operating Profit (£m)	55	88	**274***	+60%	+211%
Net Profit (£m)	15	47	211*	+213%	+349%
WBA Net (Loss) (US$m)	**4,065**	**(3,528)**	**(15,448)**	▼	▼▼

* FY2024 Operating Profit includes a £219m one-off past service pension credit. Underlying operating profit ≈ £55m.

Source: Boots UK Limited Annual Accounts FY2022–FY2024 | WBA Form 10-K FY2022–FY2024

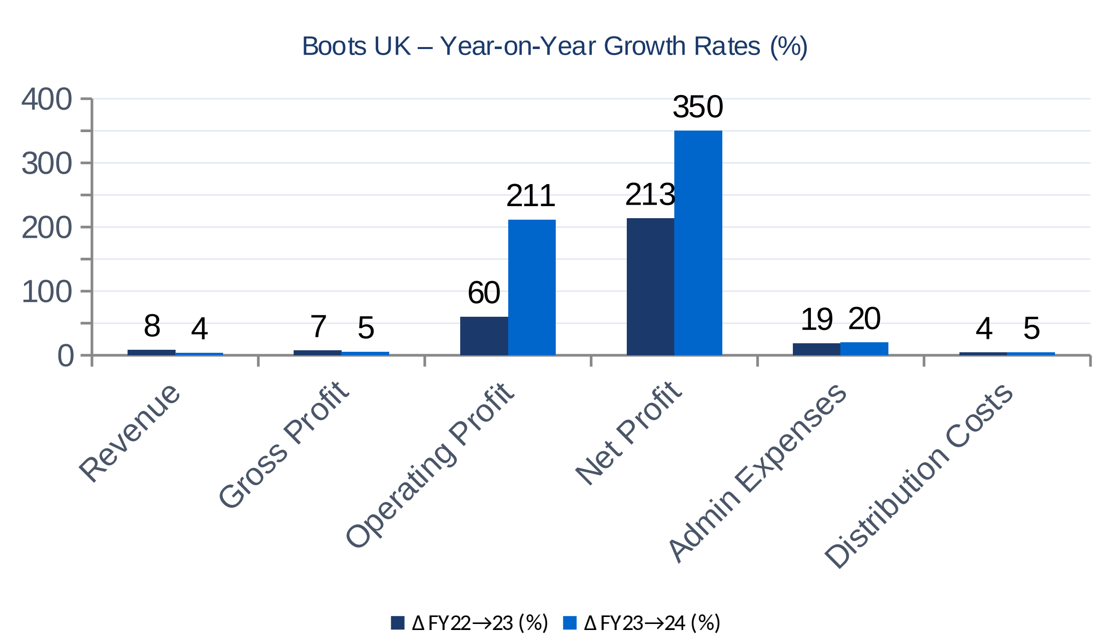
Consolidated Balance Sheet — 3-Year Trend





Balance Sheet Item	FY2022 £m	FY2023 £m	FY2024 £m	Key Movement
Total Non-Current Assets	3,874	3,142	2,645	↓ ROU assets & pension surplus
Total Current Assets	1,528	1,852	1,772	Receivables volatility
Total Assets	**5,402**	**4,994**	**4,417**	**↓ 18.2% over 3 years**
Total Current Liabilities	(1,689)	(1,877)	(1,810)	Trade payables significant
Total Non-Current Liabilities	(1,898)	(1,574)	(1,741)	Lease & pension deficit
Net Assets / Total Equity	**1,815**	**1,543**	**866**	**↓ 52% – pension deficit**
Pension Surplus/(Deficit)	590	210	(307)	Surplus → Deficit swing

Horizontal Analysis — Year-on-Year Changes



Revenue Growth Decelerating

Revenue grew +8.3% in FY2023 (post-Covid recovery) but slowed to +3.7% in FY2024, reflecting a maturing market and easing pent-up demand.

Operating Profit Misleading

The FY2024 +211% operating profit growth is largely attributable to the £219m one-off pension credit. Underlying operating profit was £55m — flat versus FY2022.

Admin Costs Rising Faster than Revenue

Administrative expenses grew +18.5% (FY23) and +19.6% (FY24) — significantly outpacing revenue growth of 8.3% and 3.7%. This is a structural cost pressure.

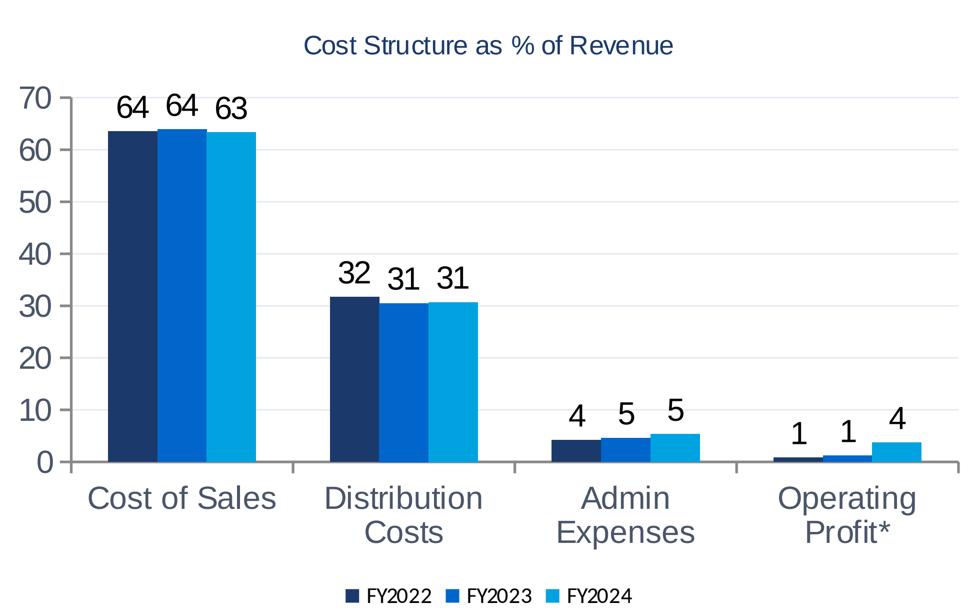
Gross Margin Stable

Gross profit margin held steady at ~36.5%–36.7%, suggesting Boots UK has maintained pricing discipline and effective cost-of-sales management.

Source: Boots UK Annual Accounts FY2022–FY2024.

Vertical Analysis — Cost Structure as % of Revenue

Section (b) — Common-Size Income Statement | FY2022–FY2024



% of Revenue	FY2022	FY2023	FY2024	Trend
Revenue	**100.0%**	**100.0%**	**100.0%**	**Baseline**
Cost of Sales	63.5%	63.9%	63.3%	Stable
Gross Profit Margin	**36.5%**	**36.1%**	**36.7%**	**Stable ✓**
Distribution Costs	31.7%	30.5%	30.7%	Slight improvement
Administrative Expenses	4.2%	4.6%	**5.3%**	Rising ⚠️
Operating Profit* (reported)	0.8%	1.2%	3.7%	Boosted by pension
Operating Profit (underlying)	**0.8%**	**1.2%**	**0.8%**	**Flat ⚠️**
Net Profit Margin	0.2%	0.7%	2.9%	Inflated by pension

* FY2024 Operating Profit inflated by £219m past service pension credit (non-recurring). Underlying op. profit = £55m = 0.8% margin — identical to FY2022.

Key Financial Ratios — Boots UK Limited

Current Ratio (FY2024)

0.98x

FY22: 0.90x | FY23: 0.99x

Gross Profit Margin (FY2024)

36.7%

FY22: 36.5% | FY23: 36.1%

Op. Margin – Underlying (FY2024)

0.8%

FY22: 0.8% | FY23: 1.2%

Net Profit Margin (Underlying)

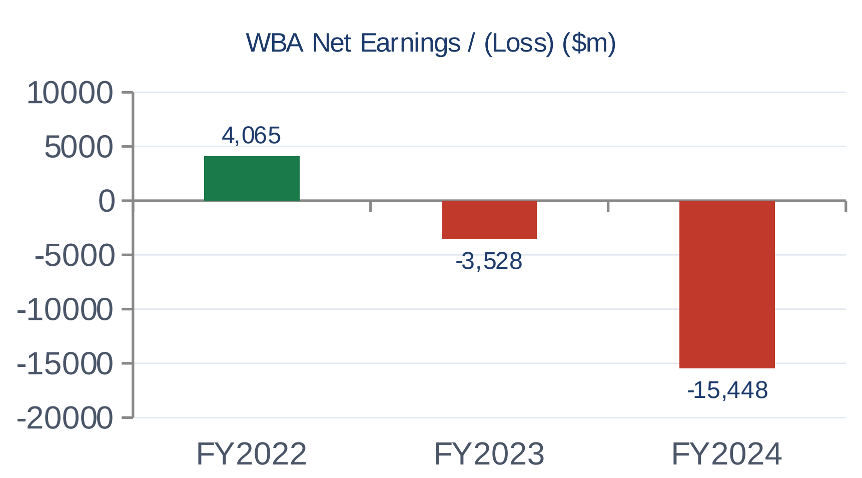
~0.1%

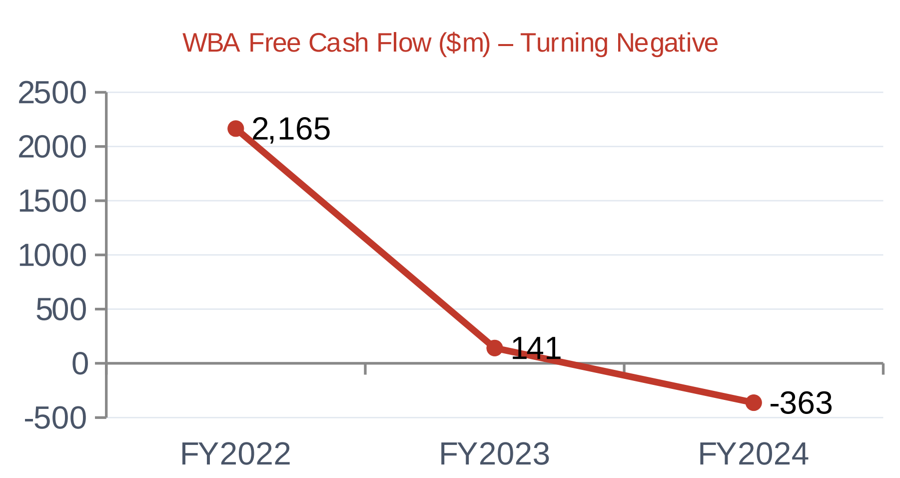
£8m est. ex-pension credit

Ratio	Formula	FY2022	FY2023	FY2024	Interpretation
PROFITABILITY					
Gross Profit Margin	GP ÷ Revenue	36.5%	36.1%	36.7%	Stable; pricing power maintained
Operating Margin (reported)	EBIT ÷ Revenue	0.8%	1.2%	3.7%*	Inflated by pension credit
Operating Margin (underlying)	**excl. pension credit**	**0.8%**	**1.2%**	**0.8%**	**Flat — structural concern**
Net Profit Margin	PAT ÷ Revenue	0.2%	0.7%	2.9%*	Pension credit distortion
LIQUIDITY					
Current Ratio	Current Assets ÷ Current Liabilities	0.90x	0.99x	0.98x	Below 1.0 — net current liabilities
Cash & Bank	Reported cash balance	£80m	£30m	£55m	Supplemented by £710m pool
CAPITAL STRUCTURE					
Debt-to-Equity (Lease-based)	Total Liabilities ÷ Equity	1.98x	2.24x	**4.10x**	Rising leverage — risk
Pension Position	Surplus / (Deficit)	£590m	£210m	**(£307m)**	Swung to deficit in FY2024

Source: Boots UK Annual Accounts FY2022–FY2024.

WBA Group Financial Context & Cash Position





$15.4bn Net Loss (FY2024)

WBA's net loss attributable to shareholders was $8.6bn in FY2024. Total group net loss including minority interests was $15.4bn — driven by a $12.7bn goodwill impairment charge on VillageMD and US Healthcare investments.

International Segment Still Profitable

Despite WBA's group-level losses, the International segment (which includes Boots UK) generated adjusted operating income of $793m in FY2024 — demonstrating that Boots UK remains a relatively resilient contributor to the group.

Free Cash Flow Turned Negative

WBA's free cash flow deteriorated from $2.2bn (FY2022) to $141m (FY2023) to -$363m (FY2024). The group was unable to fund capex from operating cash — a critical sustainability warning sign.

Boots UK Cash Pool Dependency

Boots UK holds £55m in standalone cash but participates in a WBA cash pooling arrangement with a balance of £710m (FY2024). This creates a dependency on the parent — if WBA's liquidity worsens, Boots UK's access to pooled cash could be at risk.

Source: WBA Form 10-K FY2022–FY2024 | Boots UK Annual Accounts FY2024 (Liquidity Note)

Budgeted Income Statement — FY2025 Projection

Income Statement Item	FY2022 £m	FY2023 £m	FY2024 £m	Budget FY2025 £m
Revenue	**6,512**	**7,053**	**7,313**	**7,606**
Cost of Sales	(4,133)	(4,506)	(4,632)	(4,815)
Gross Profit	**2,379**	**2,547**	**2,681**	**2,791**
Gross Profit Margin	*36.5%*	*36.1%*	*36.7%*	*36.7%*
Other Operating Income	18	18	13	13
Distribution Costs	(2,067)	(2,151)	(2,249)	(2,339)
Administrative Expenses	(275)	(326)	(390)	(410)
Past Service Pension Credit	—	—	*219*	—
OPERATING PROFIT	**55**	**88**	**274**	**55**
Income from Group Undertakings	14	7	67	40
Finance Income	8	43	25	25
Finance Costs	(73)	(78)	(97)	(100)
PROFIT BEFORE TAXATION	**4**	**60**	**269**	**20**
Taxation (est. 20%)	11	(13)	(58)	(4)
PROFIT FOR THE YEAR	**15**	**47**	**211**	**16**

Budget Note

1. FY2025 budget strips out the £219m one-off pension credit to present the underlying earnings power of the business.
2. Revenue growth projected at +4.0%, reflecting decelerating trend (8.3% → 3.7%) and modest market growth expectations.
3. Gross margin held at 36.7% — consistent with 3-year average, assuming stable input cost management.
4. Admin expenses projected at +5.1% growth — above revenue growth, confirming an ongoing cost pressure trend.
5. No exceptional items assumed for FY2025 — budget represents a normalised operating year.
6. Tax rate: 20% effective rate applied, broadly aligned with UK statutory rate.

Budget based on 3-year trend analysis (FY2022–FY2024). All figures in £m. Assumptions detailed on next slide.

Budgeted Statements — Key Assumptions & Justification

Assumption	FY2025 Projected	Basis / Justification
Revenue Growth Rate	4.0%	3-year trend: +8.3% (FY23), +3.7% (FY24). Decelerating; 4% reflects continued momentum without assuming acceleration.
Gross Profit Margin	36.7%	Average gross margin FY22–FY24 = 36.4%. FY2024 was 36.7%; held flat assuming stable procurement and pricing.
Distribution Costs	£2,339m (+4.0%)	Correlated with revenue growth; distribution costs track store volumes. FY22–FY24 CAGR: +4.2%.
Administrative Expenses	£410m (+5.1%)	Admin grew +18.5% (FY23) and +19.6% (FY24). FY2025 projected at +5.1% — assumes some normalisation but continued structural cost pressure.
Pension Credit	Nil	The £219m past service pension credit (FY2024) was a non-recurring event following the Nov 2023 pension buy-in with Legal & General. Not repeated in FY2025.
Finance Costs	£100m	Slight increase on FY2024's £97m; lease obligations remain material (£1,388m non-current leases). IFRS 16 interest charges continuing.
Income from Group Undertakings	£40m	FY2024: £67m (elevated, possibly includes intragroup gains). Normalised to £40m — in line with the 3-year trend average.
Tax Rate	20%	UK statutory corporation tax rate (25% from April 2023). Effective rate conservatively estimated at 20% reflecting deferred tax movements.

Projected Balance Sheet Highlights (FY2025)

Total Equity: ~£882m (+£16m retained profit, −£32m actuarial adjustment assumed)
Total Lease Liabilities: ~£1,480m (annual reduction as leases expire)
Pension Liability: ~£290m (moderate improvement assumed, subject to actuarial review)

Projected Cash Flow Highlights (FY2025)

Operating Cash Flow: ~£300m (based on £55m underlying EBIT + D&A ~£250m)
Lease Payments: ~£275m (consistent with FY2022–FY2024 average)
Net Cash Flow: ~£25m (tight liquidity; reliant on group cash pool for buffer)

Limitations: Currency fluctuations, pension actuarial changes, and WBA group decisions not modelled. Budget is illustrative based on historical trend analysis.

Break-Even Analysis

Cost Classification (FY2024)

Cost Item	£m	Classification
Revenue	**7,313**	—
Cost of Sales (variable)	4,632	Variable
Gross Profit (Contribution)	**2,681**	**Contribution**
Distribution Costs	2,249	Fixed (lease-based)
Administrative Expenses	390	Fixed
Total Fixed Costs	**2,639**	**Fixed**

Note: Distribution costs are primarily fixed (store leases, logistics networks). COGS treated as fully variable — proportional to sales volume. This is a simplification; some COGS components (e.g. direct labour) are semi-variable.

Break-Even Calculation

Contribution Margin Ratio
Gross Profit ÷ Revenue
£2,681m ÷ £7,313m = 36.7%

Break-Even Revenue
Fixed Costs ÷ CM Ratio
£2,639m ÷ 36.7% = £7,191m

Actual Revenue (FY2024)
Reported revenue
£7,313m

Margin of Safety (£m)
Actual Rev − Break-Even Rev
£7,313m − £7,191m = £122m

Margin of Safety (%)
Safety £m ÷ Actual Revenue
£122m ÷ £7,313m = 1.67%

⚠️ A 1.67% margin of safety means any revenue shortfall >£122m tips Boots UK into operating losses (underlying basis).

Source: Boots UK Annual Accounts FY2024.

Financial Sustainability Assessment

CONCERNING	WATCH	STABLE
Thin underlying margins Pension swing to deficit Equity erosion	Rising admin costs Current ratio below 1.0 Group dependency	Revenue growth trajectory Gross margin resilience Positive retained earnings

Underlying Profitability Is Razor-Thin

Excluding the £219m one-off pension credit, Boots UK's FY2024 underlying operating profit was approximately £55m on revenue of £7.3bn — an operating margin of 0.8%. This is unchanged from FY2022 despite revenue growing by £800m over three years. The business is generating significantly more revenue but not converting it into profit.

Pension Deficit Creates Balance Sheet Risk

The defined benefit pension scheme swung from a surplus of £590m (FY2022) to a deficit of £307m (FY2024) — a £897m deterioration. This required a £300m cash contribution to Legal & General for a pension buy-in (Dec 2023) plus £47m accelerated contributions, directly impacting liquidity. Future actuarial changes remain a significant risk.

Equity Erosion Through Actuarial Losses

Total equity fell from £1,815m (FY2022) to £866m (FY2024) — a 52% decline — primarily driven by actuarial reserve losses of £1,090m (from +£418m to -£672m). While retained earnings grew (£771m → £956m), these are being more than offset by pension-driven actuarial losses flowing through Other Comprehensive Income.

Structural Lease Burden

Boots UK carries £1,563m in total lease liabilities (FY2024) — down from £1,878m (FY2022) but still very significant relative to its equity base. Annual lease cash outflows run at ~£275m. With a current ratio of 0.98x (net current liabilities), the business operates with very limited short-term liquidity headroom.

Revenue Growth and Gross Margin Resilience

Revenue grew from £6,512m to £7,313m (+12.3%) over three years. Gross margins have been held stable at ~36.5%–36.7%, indicating effective management of cost of sales. This is a genuine positive — the commercial model remains fundamentally sound at the gross margin level.

International Segment Remains WBA's Profit Core

Despite WBA's group-level losses of $15.4bn (FY2024), the International segment (Boots-led) generated adjusted operating income of $793m — making Boots UK a critical earnings contributor to WBA. This status may offer some protection from group-level capital restructuring.

Source: Boots UK Annual Accounts FY2022–FY2024 | WBA Form 10-K FY2024 (Segment Note)

Key Risks to Financial Sustainability

#1 HIGH

Parent Company (WBA) Financial Distress

WBA recorded a $15.4bn net loss in FY2024, negative free cash flow (-$363m), and a $12.7bn goodwill impairment. WBA has been exploring strategic alternatives including a potential sale of Boots. Any WBA liquidity crisis could restrict Boots UK's access to the £710m cash pool, alter dividend/loan policies, or result in ownership change with uncertain strategic direction.

#2 HIGH

Pension Scheme Volatility

The defined benefit pension scheme shifted from a £590m surplus (FY2022) to a £307m deficit (FY2024) — a £897m swing. The FY2024 pension buy-in required £347m in cash contributions. Future actuarial assumptions (discount rates, life expectancy) remain material risks. Ongoing deficit repair contributions could reduce free cash flow.

#3 MED

Rising Operating Cost Base

Administrative expenses grew +19.6% in FY2024 vs revenue growth of 3.7% — a significant cost-to-revenue divergence. If this trend continues, it will further erode the already thin underlying operating margin (0.8%). Cost drivers include IT investment, regulatory compliance, and wage inflation.

#4 MED

Very Low Margin of Safety (1.67%)

The break-even analysis reveals that Boots UK only needs a 1.67% revenue shortfall — equivalent to £122m — to slide into underlying operating losses. In a sector exposed to consumer spending shifts, NHS prescription policy changes, or competitive pricing pressure, this is a dangerously thin buffer.

#5 MED

Structural Lease Obligations

With £1,563m in lease liabilities and £275m annual lease cash outflows, Boots UK carries a heavy fixed-cost base tied to its ~2,200 store estate. In a market where footfall is shifting online, this rigid cost structure limits strategic flexibility and constrains profitability improvement.

#6 LOW

Currency & Macroeconomic Exposure

While Boots UK reports in GBP, its ultimate parent reports in USD. Sterling weakness against the dollar reduces the translated value of Boots UK's earnings within WBA's consolidated accounts, potentially influencing capital allocation decisions. UK consumer confidence and NHS funding policy are also macroeconomic variables.

Source: Annual Accounts & WBA Form 10-K.

Strategic Recommendations & Conclusion

💊 1. Digital Pharmacy & Healthcare Services

Boots should accelerate its digital health proposition — online prescription management, virtual GP consultations, and health monitoring subscriptions. The NHS Long Term Plan supports community pharmacy expanded services. Subscription-based health packages (e.g. £9.99/month wellness plans) could generate recurring, margin-accretive income beyond traditional retail.

🤝 2. B2B Healthcare Partnerships

Contract with employers, insurers, and local NHS Integrated Care Boards (ICBs) to deliver occupational health, vaccination, and chronic disease management programmes. Corporate health contracts provide predictable, high-margin revenue streams and leverage Boots' existing clinical workforce without significant additional capex.

🌐 3. Equity Crowdfunding — Community Ownership

Boots could pilot a community equity crowdfunding model (Crowdcube / Seedrs) for specific initiatives — e.g. digitising local pharmacy services in under-served communities. This is directly relevant to Boots' community-embedded business model, builds customer loyalty, and raises capital without increasing bank debt. Regulatory fit: UK FCA-regulated platforms.

📱 4. Loyalty Programme Monetisation & Data

The Boots Advantage Card holds c.15 million active members. Monetising this through premium loyalty tiers (£5/month for enhanced rewards), data partnerships with consumer health brands, and personalised health product subscriptions could generate £50m–£100m in incremental annual revenue with minimal incremental cost.

🏪 5. Store Estate Rationalisation & Subletting

With a £1,563m lease liability and c.2,200 stores, selectively exiting unprofitable locations or subletting surplus space to healthcare, optical, or beauty service operators can reduce the fixed-cost base. Some Boots stores already host Specsavers — this model can be expanded to generate rental income and reduce net lease costs.

💡 6. Reward-Based Crowdfunding for Innovation

For product innovation or community pharmacy expansion, reward-based crowdfunding (Kickstarter model) requires no equity dilution and no repayment obligation. Boots could raise £2m–£5m per initiative while generating advance customer commitments. Justification: Boots' brand strength and community trust make it highly suited to this model in the UK market.

Recommendations informed by: Boots UK Annual Accounts | WBA Investor Relations | UK NHS Long Term Plan | FCA Crowdfunding Regulations 2014 (amended 2021)